

Key Indicators:

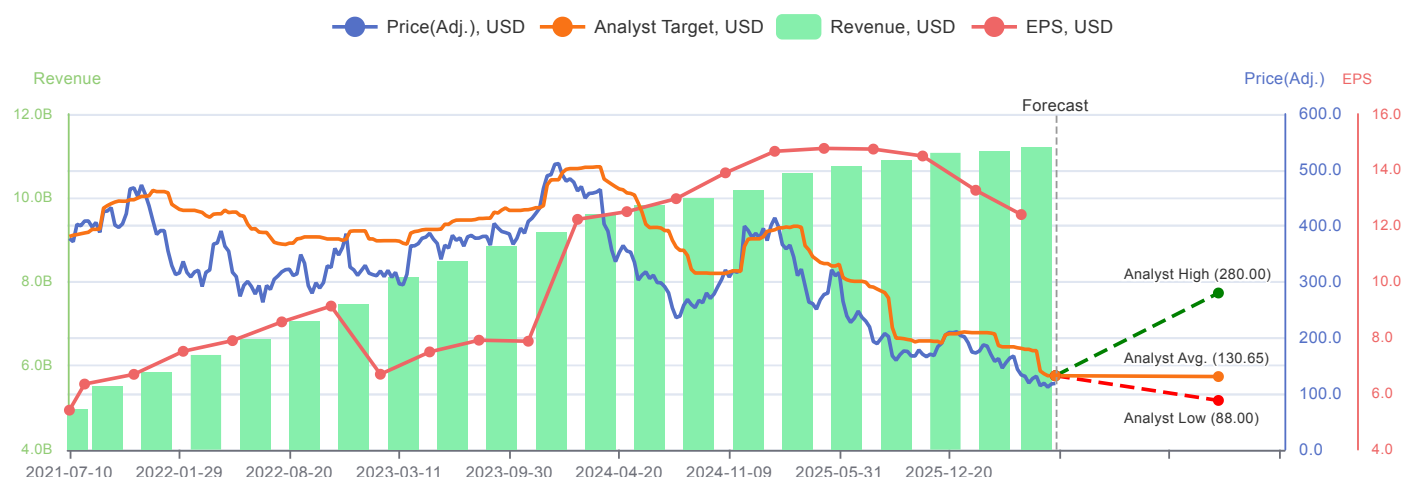
🕒 Date: Jul 7, 2026

Stock Price

\$115.6

52-Week Range	\$104.4 - \$247	EPS Revisions (90d)	↑ 0 ↓ 17	Revenue	\$11.2B
Market Cap	\$13.1B	PEG Ratio	-0.56	Revenue Forecast	\$11.0B
P/E Ratio	8.93	FCF Yield	9.82	1-Year Change	-51.3%
P/E (Fwd.)	10.4	EV / EBITDA	5.32	Div Yield	0%
EPS Actual	13.3	Book / Share	41.9	Div. Growth Streak	-
EPS Estimate	11.1	Beta (5Y)	0.88	Next Earnings	2026-08-27

5-Year Chart



Executive Summary

Warren AI

Lululemon Athletica Inc. (NASDAQ: LULU) is a Vancouver-based premium athletic apparel retailer operating over 816 stores globally, known for its technical sportswear, community-driven brand, and direct-to-consumer model.

Q1 FY2026 results presented a mixed picture : revenue of \$2.5 billion rose 4% YoY and beat forecasts by \$60 million, but EPS of \$1.69 fell sharply from \$2.60 in Q1 FY2025. **North America revenue declined 3% with comparable sales down 6%**, while **China Mainland surged 30% (23% constant currency) with comparable sales up 13%**, underscoring a stark geographic divergence. Gross margin contracted 410 basis points to 54.2%, pressured by tariff impacts (280 bps), markdowns, and fixed cost deleverage.

The company **significantly lowered full-year FY2026 guidance** to \$11.0–\$11.15 billion in revenue (flat to down 1% vs. FY2025) and EPS of \$10.95–\$11.15, down from \$13.26 in FY2025 — representing up to a 17% profit decline. Management cited negative media commentary from a proxy battle with founder Chip Wilson and underperforming product launches as key headwinds. **Operating margin is projected to contract ~380 bps to ~16.1%, the lowest since 2006.**

On the governance front, a settlement was reached with Chip Wilson, adding new board directors, and *former Nike executive Heidi O'Neill is set to become CEO in September 2026*, offering a potential strategic reset. The company maintains a solid balance sheet with ~\$1.5 billion in cash and ~\$1 billion remaining on its buyback program. **Technically, the stock is rated a Strong Sell**, trading near 52-week lows, though InvestingPro's Fair Value of \$204.72 implies significant upside. With a forward P/E of ~10.44x and EV/EBITDA of 5.32x, valuation multiples are near decade lows. **21 analysts have revised EPS estimates downward** in the past 90 days, with a median analyst price target of \$130.65.

Fair Value

Upside	78.3%
Fair Value	\$204.7

Financial Health

5.2/10

Growth Rating

8.4/10

Profitability Rating

7.5/10

Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2024	2025	2026	2027	2028
Period Ending	28/01	02/02	01/02	31/01	31/01
Capitalization	\$57.3B	\$50.3B	\$20.5B	\$13.1B	\$13.1B
P/E Ratio	57.2	29.0	11.8	10.4	10.2
Div. Yield	0	0	0	0	-
Capitalization / Revenue	6.23	4.94	1.85	1.19	1.15
EV / Revenue	6.24	4.97	1.91	1.25	1.20
EV / EBITDA	24.2	18.1	7.22	5.93	5.71
EV / FCF	47.0	32.4	21.0	-	-
FCF Yield	2.28	3.17	5.51	-	-
Price / Book	16.2	12.6	4.55	2.70	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

Management has been aggressively buying back shares

Liquid assets exceed short term obligations

Analysts predict the company will be profitable this year

Profitable over the last twelve months

21 analysts have revised their earnings downwards for the upcoming period

Price has fallen significantly over the last year

Price has fallen significantly over the last three months

Stock has taken a big hit over the last six months

Operates with a moderate level of debt

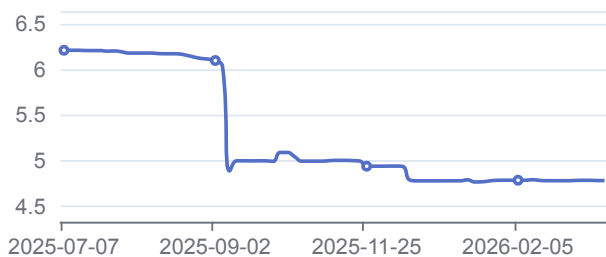
Does not pay a dividend to shareholders

Analyst Projections:

Analyst EPS Forecasts

Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2027	11.07	-16.8%	10.4x	29
2028	11.3	3.7%	10.2x	31
2029	12.13	9.5%	9.5x	11

EPS Revisions Q2 2027



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the upcoming quarter. Analysts have increased this quarter's expectations by 0.0% for EPS from \$2.94 per share to \$2.94 per share over the last 12 months.

EPS Revisions FY2027

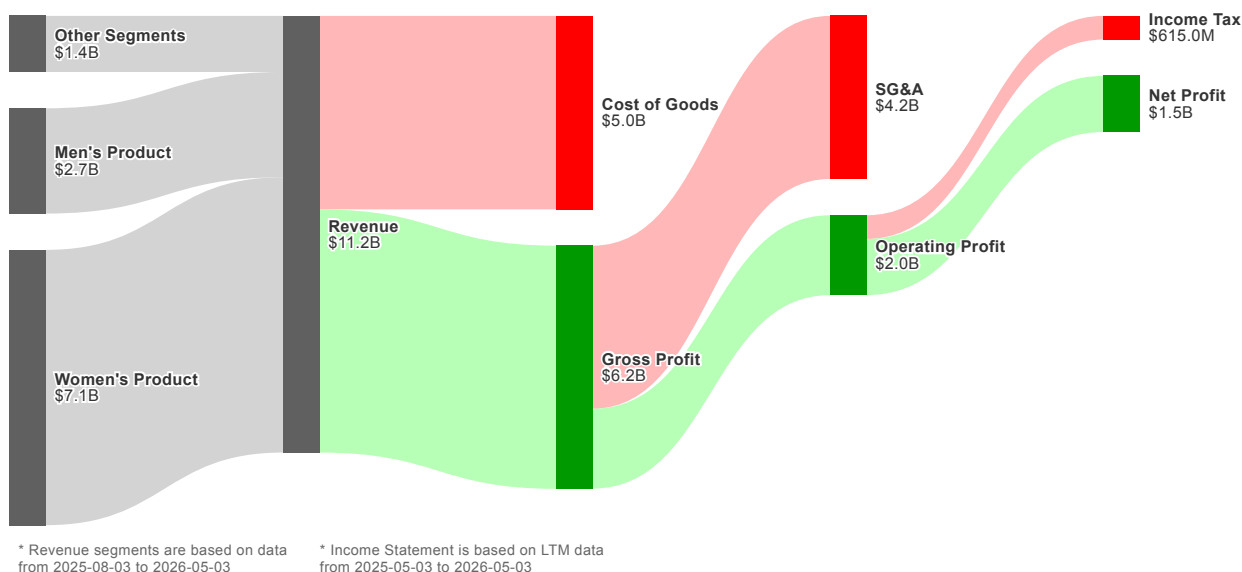


The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have increased this quarter's expectations by 0.0% for EPS from \$14.38 per share to \$14.38 per share over the last 12 months. The company is expected to report earnings for Q2, 2027, on August 27, 2026.

Latest Ratings

Date	Analyst	Rating	Target
Jul 06, 26	Morgan Stanley	Sell	\$93
Jun 09, 26	Citi	Hold	\$130
Jun 08, 26	Deutsche Bank	Hold	\$127
Jun 08, 26	Goldman Sachs	Hold	\$122
Jun 05, 26	Freedom Broker	Hold	\$139
Jun 05, 26	Truist Securities	Hold	\$115
Jun 05, 26	KeyBanc	Hold	N/A
Jun 05, 26	Bernstein SocGen Group	Hold	\$145
Jun 05, 26	BNP Paribas Exane	Sell	\$88
Jun 05, 26	Piper Sandler	Hold	\$110
Jun 05, 26	Baird	Hold	\$140
Jun 05, 26	Needham	Hold	N/A
Jun 05, 26	UBS	Hold	\$124
Jun 05, 26	BTIG	Hold	N/A
Jun 05, 26	Stifel	Hold	\$134
Jun 05, 26	Wells Fargo	Hold	\$110
Jun 05, 26	Jefferies	Hold	\$115
Jun 05, 26	BofA Securities	Hold	\$140
Jun 05, 26	Barclays	Hold	\$113
Jun 04, 26	Truist Securities	Hold	\$135
May 29, 26	Raymond James	Hold	N/A
May 22, 26	Piper Sandler	Hold	\$130
May 21, 26	KeyBanc	Hold	N/A
May 07, 26	Baird	Hold	\$170
Apr 27, 26	Jefferies	Hold	\$145
Apr 23, 26	Stifel	Hold	\$176
Apr 23, 26	Piper Sandler	Hold	\$190

Y LTM Financials:



Income Statement

Date	2023	2024	2025	2026	LTM
Revenue	8,110	9,619	10,588	11,102	11,203
Operating Income	1,726	2,210	2,505	2,210	2,048
Net Income to Stockholders	854.8	1,550	1,814	1,579	1,459
Shares Outstanding	127.5	126.2	121.4	117.3	113.6
Diluted EPS	6.68	12.2	14.6	13.3	12.4
EBITDA	2,017	2,590	2,952	2,706	2,566

Balance Sheet

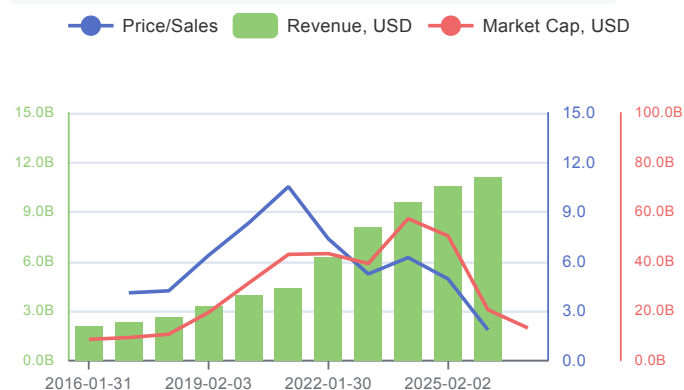
Date	2023	2024	2025	2026	LTM
Total Current Assets	3,159	4,060	3,980	4,262	3,994
Total Assets	5,607	7,091	7,603	8,456	8,531
Total Current Liabilities	1,492	1,631	1,839	1,887	1,794
Total Liabilities	2,458	2,859	3,279	3,494	3,705
Total Equity	3,148	4,232	4,324	4,961	4,825
Total Debt	1,070	1,403	1,575	1,798	2,136

Cash Flow Statement

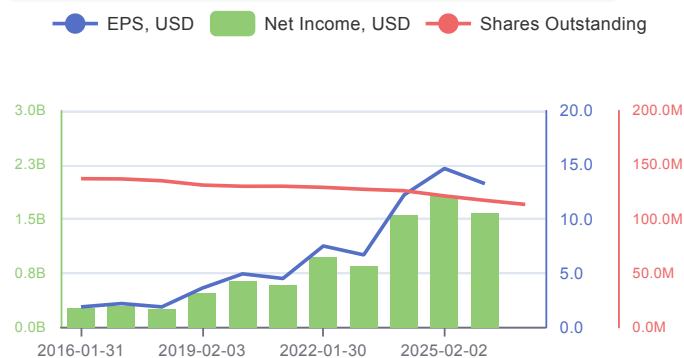
Date	2023	2024	2025	2026	LTM
Cash from Operations	966.5	2,296	2,272	1,602	1,935
Cash from Investing	-569.9	-654.1	-798.2	-662.1	-694.1
Cash from Financing	-467.5	-548.8	-1,652	-1,208	-1,119
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

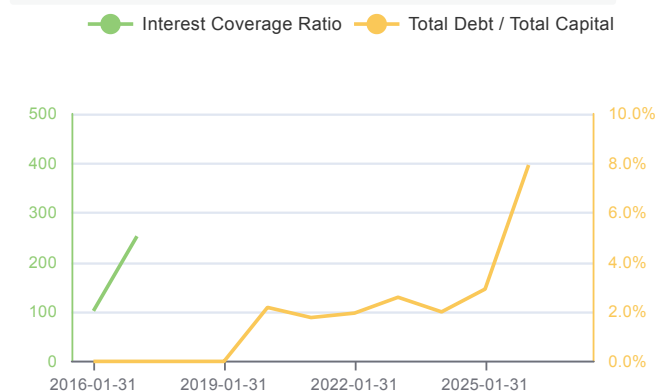
Revenue, Market Cap, Price/sales



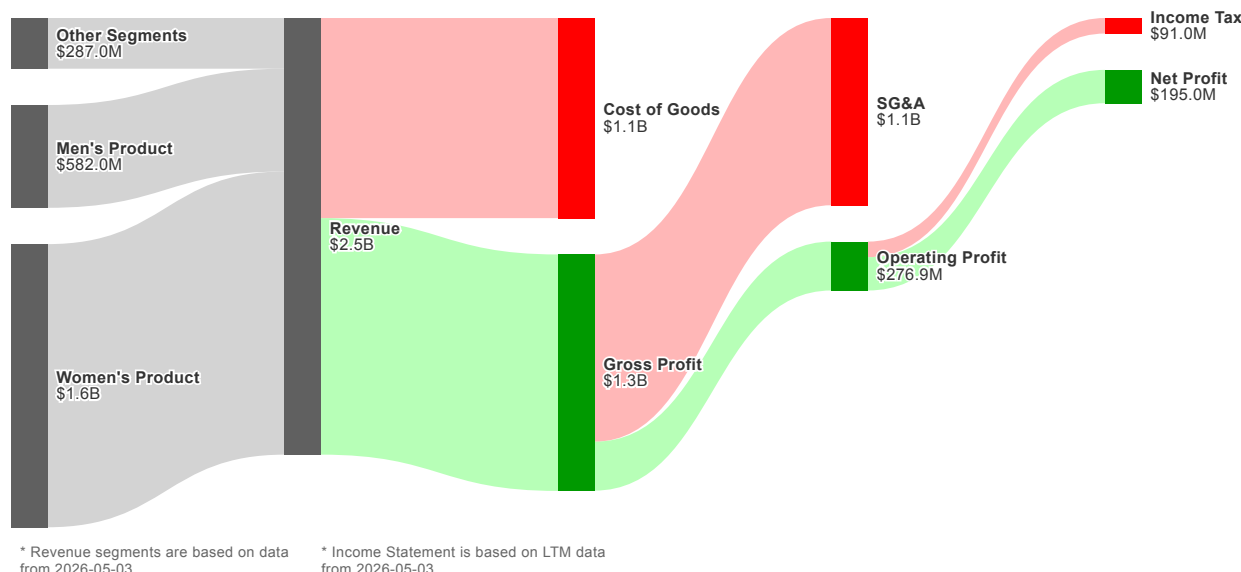
Net Income, EPS, Shares



Leverage and Debt



Q1 Financials



Income Statement

Date	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Revenue	2,370	2,525	2,565	3,640	2,471
Operating Income	438.6	523.8	435.9	812.3	276.9
Net Income to Stockholders	314.6	370.9	306.8	586.9	195.0
Shares Outstanding	120.2	119.7	118.6	117.3	115.1
Diluted EPS	2.60	3.10	2.59	5.01	1.69
EBITDA	553.2	643.5	563.3	946.8	412.3

Balance Sheet

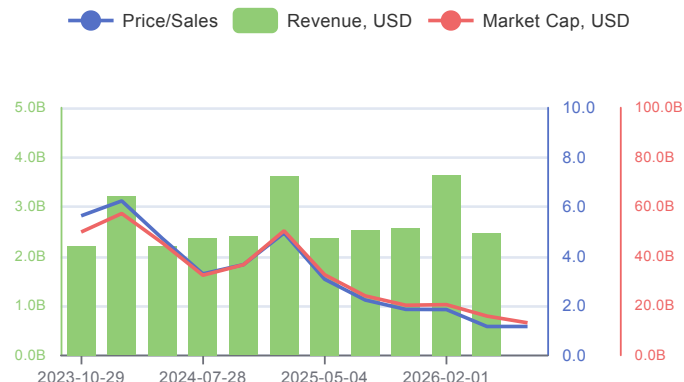
Date	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Total Current Assets	3,582	3,528	3,923	4,262	3,994
Total Assets	7,430	7,523	7,955	8,456	8,531
Total Current Liabilities	1,572	1,557	1,842	1,887	1,794
Total Liabilities	3,141	3,136	3,453	3,494	3,705
Total Equity	4,289	4,387	4,502	4,961	4,825
Total Debt	1,706	1,762	1,762	1,798	2,136

Cash Flow Statement

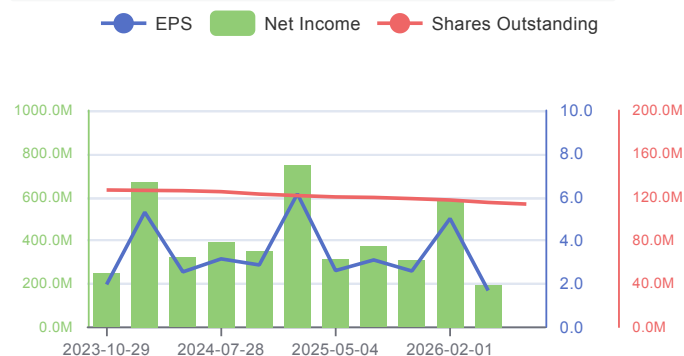
Date	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Cash from Operations	-119.0	328.7	249.9	1,142	214.4
Cash from Investing	-106.8	-213.1	-169.1	-173.1	-138.8
Cash from Financing	-468.0	-276.8	-194.2	-269.7	-378.5
Levered Free Cash Flow	-0.0	0.0	0.0	0.0	87.1

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

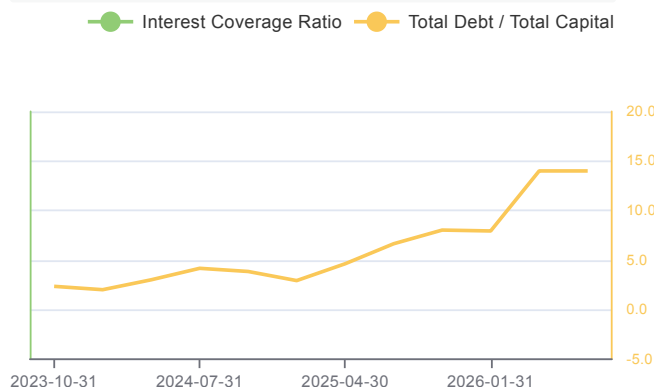
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

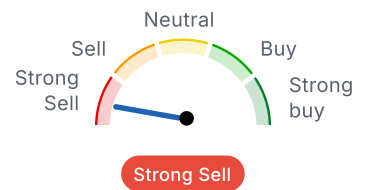
Price Momentum

Metric	LULU	Percentile	Score
Price % of 52 Week High	46.8%	8.5%	0.4
1 Week Price Total Return	1.3%	57.7%	2.9
2 Week Price Total Return	6.2%	71.6%	3.6
3 Week Price Total Return	0.1%	39.8%	2.0
1 Month Price Total Return	1.2%	39.3%	2.0
3 Month Price Total Return	-24.7%	5.2%	0.3
6 Month Price Total Return	-45.4%	1.7%	0.1
1 Year Price Total Return	-51.3%	3.8%	0.2
2 Year Price Total Return	-61.2%	5.6%	0.3
3 Year Price Total Return	-68.2%	7.0%	0.3
4 Year Price Total Return	-60.2%	9.6%	0.5
5 Year Price Total Return	-69.4%	15.2%	0.8

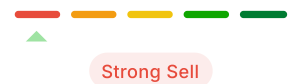
Peers

DECK	ANF
83.5%	67.4%
6.4%	-0.3%
2.0%	6.6%
-4.1%	0.8%
-2.3%	19.2%
5.4%	-8.4%
2.6%	-29.4%
-0.1%	1.1%
-32.5%	-47.7%
20.3%	152.6%
132.9%	408.0%
62.3%	106.1%

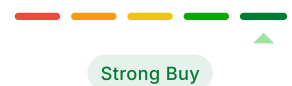
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	LULU	DECK	ANF
Market Cap	\$13.1B	\$14.7B	\$4.0B
Price % of 52 Week High	46.6%	83.1%	66.7%
Div Yield	0%	0%	0%
Beta	0.88	1.17	0.88
1 Year Return	-51.3%	-0.08%	1.12%

Growth Metrics

Metric	LULU	DECK	ANF
Revenue Growth	4.22%	9.76%	5.13%
Revenue CAGR (5y)	20.3%	16.5%	11.0%
Net Income Growth	-19.3%	6.00%	-7.35%
Net Income CAGR (5y)	21.8%	21.8%	
Revenue Forecast CAGR (5y)	4.65%	7.41%	2.90%
Net Income Forecast CAGR (5y)	6.43%	4.89%	0.63%

Financial Statement Metrics

Metric	LULU	DECK	ANF
Revenue	\$11.2B	\$5.5B	\$5.3B
Gross Profit	\$6.2B	\$3.2B	\$3.3B
Operating Income	\$2.0B	\$1.3B	\$667.1M
Gross Profit Margin	55.7	57.7	61.7
Net Income to Common	\$1.5B	\$1.0B	\$493.6M
ROE	32.0	40.9	39.0
ROI	22.1	34.8	20.8
ROA	18.3	28.2	15.3
Total Assets	\$8.5B	\$3.7B	\$3.5B
Total Debt	\$2.1B	\$375.2M	\$1.3B

Valuation Metrics

Metric	LULU	DECK	ANF
P/E Ratio (LTM)	8.93	14.3	7.99
PEG Ratio	-0.56	1.31	3.08
Price / Book	2.70	5.86	2.94
Price / LTM Sales	1.16	2.68	0.75
Analyst Upside	6.36%	18.3%	22.5%
Fair Value Upside	78.3%	2,716.0%	4,716.0%

Latest Insights

WarrenAI

Bull Case

- China Mainland delivered 30% revenue growth (23% constant currency) in Q1 FY26 with 13% comparable sales growth, and management maintains ~20% full-year growth guidance, positioning China to become Lululemon's second-largest market.
- International expansion is accelerating with record new market entries planned in FY26, including Greece, Austria, Poland, Hungary, Romania, and India (viewed as a multi-billion dollar opportunity by 2030), plus eight new Mexico stores and an e-commerce launch there.
- Management has been aggressively repurchasing shares (~2.2 million shares in Q1 FY26 at ~\$165 avg.), with ~\$1 billion remaining on the buyback program, signaling confidence in long-term value at depressed price levels.
- Valuation multiples are near decade lows — forward P/E of ~10.44x, EV/EBITDA of 5.32x, and P/B of 2.7x — while InvestingPro's Fair Value estimate of \$204.72 implies substantial upside if fundamentals stabilize.
- New CEO Heidi O'Neill (former Nike executive, joining September '26) offers a potential strategic reset, with the proxy battle resolved and a refreshed board providing clearer governance direction.

Bear Case

- Full-year FY26 EPS guidance of \$10.95–\$11.15 represents up to a 17% decline from FY25's \$13.26, following a 9% drop in FY25, with operating margin projected at ~16.1% — the lowest since 2006.
- North America comparable sales declined 6% in Q1 FY26, and Q2 guidance implies a low double-digit decline in the region; analysts do not expect a sustainable positive growth rate in North America for FY26.
- Tariffs are expected to cost \$320–\$380 million in FY26, with a gross negative impact of 280 bps in Q1 and ~150 bps in Q2, and U.S. Section 301 investigations into Vietnam (a key sourcing country) add further supply chain risk.
- 21 analysts revised EPS estimates downward in the past 90 days, with 17 downward revisions in the last 90 days per metrics data; median analyst price target has fallen to ~\$130.65 from ~\$205 three months prior.
- Q2 FY26 EPS guidance of \$1.76–\$1.81 fell far short of consensus of \$2.69, and the stock has declined ~51% over the past year, reflecting deep investor concern about execution and the durability of the brand's premium positioning.

Additional Insights

- Management increased marketing spend to ~6%–6.5% of sales (vs. 5.6% last year), approximately 10%–15% above FY25 levels, targeting brand activations like the Great Wall yoga event, SeaWheeze half-marathon, and NYC pop-ups to rebuild brand heat.
- Product development timelines have been reduced from 18–24 months to 15–16 months, with a target of 12–14 months; the company is chasing 20% more volume in FY26 vs. FY25 to better react to demand trends, with inventory units down ~4%.
- Digital revenue accounted for 40% of total Q1 FY26 revenue at ~\$1 billion, growing 4% YoY; the DTC model remains a structural profitability advantage, with ROE of 34% over the trailing twelve months.
- Newness penetration in the assortment increased from 23% in FY25 toward a 35% target for FY26, currently sitting at ~30%; recent 'new look of yoga' campaign underperformed expectations in terms of halo effect on broader assortment.
- The company plans ~40 net new stores in FY26 (low end of 40–45 range), with ~25–30 in international markets (majority in China), contributing to low double-digit square footage growth; new store ROI is approximately one year.

SWOT Analysis

WarrenAI

Strengths

- Strong brand recognition and premium positioning enabling above-average pricing power, with a 54.2% gross margin in Q1 FY26 despite significant headwinds, and a 34% return on equity over the trailing twelve months.
- Robust China Mainland growth of 30% in Q1 FY26 and ~20% projected for the full year, with a strong community-building strategy including ambassador networks and marquee events like the Great Wall yoga activation.
- Solid balance sheet with ~\$1.5 billion in cash, liquid assets exceeding short-term obligations, ~\$600 million revolving credit facility available, and ~\$1 billion remaining on share repurchase authorization.
- Direct-to-consumer model with digital contributing 40% of Q1 FY26 revenue, supporting high profitability and direct customer engagement across 816 global stores.

Weaknesses

- Persistent North America weakness with comparable sales down 6% in Q1 FY26 and low double-digit declines expected in Q2 FY26, driven by negative media commentary, proxy battle fallout, and underperforming product launches.
- Significant margin compression: gross margin fell 410 bps to 54.2% in Q1 FY26, operating margin dropped to 11.2% (vs. 18.5% in Q1 FY25), and full-year operating margin is projected at ~16.1% — the lowest since 2006.
- Leadership transition uncertainty with interim co-CEOs running the business until Heidi O'Neill joins in September '26, creating potential for strategic drift during a critical recovery period.
- EPS has declined sharply — from \$13.26 in FY25 to a guided \$10.95–\$11.15 in FY26 — with 17 downward analyst EPS revisions in the past 90 days and a negative PEG ratio of -0.56 reflecting deteriorating growth expectations.

Opportunities

- International expansion into six new markets in FY26 (Greece, Austria, Poland, Hungary, Romania, India) via franchise partnerships, with India viewed as a multi-billion dollar opportunity by 2030 and Mexico receiving eight new stores plus e-commerce.
- Men's category growth (up 7% in Q1 FY26) and expansion into footwear, tennis, golf, and hiking apparel represent meaningful diversification opportunities with significant untapped potential.
- New CEO Heidi O'Neill's arrival in September '26 offers a strategic reset opportunity to refocus on core strengths, optimize the product portfolio, and re-accelerate North America momentum.
- Enterprise enablement initiatives — including AI-powered systems, procurement optimization, and supply chain network restructuring — are expected to drive efficiency gains and partially offset tariff headwinds over time.

Threats

- Escalating tariff risks: FY26 tariff costs estimated at \$320–\$380 million, with ongoing U.S. Section 301 investigations into Vietnam (a key sourcing country) threatening additional levies on top of existing pressures.
- Intensifying competition from Alo Yoga, Vuori, Nike, Adidas, Skims, and Athleta across all price points, contributing to North America market share losses and reduced pricing power.
- Brand reputation risks from the proxy battle with founder Chip Wilson, social media backlash over product quality (e.g., see-through 'Get Low' leggings), and cultural missteps (e.g., Japanese drum incident in China) that impacted traffic.
- Macroeconomic headwinds including consumer discretionary spending pressure and potential prolonged weakness in North America, combined with a stock down ~51% over one year and 17 downward EPS revisions signaling deteriorating analyst confidence.

Earnings Call - Q1 2027

06/04/26 | WarrenAI

- Q1 FY26 revenue rose 4% YoY to \$2.5 billion, beating forecasts by \$60M, but EPS fell to \$1.69 from \$2.60 in Q1 FY25 due to gross margin compression of 410 bps to 54.2%.
- Two key headwinds emerged late in Q1 and into Q2: spikes in negative media/social commentary (linked to the proxy battle and product quality concerns) and underperforming product launches, both impacting traffic broadly across demographics.

Bullish Highlights

- China Mainland revenue surged 30% (23% constant currency) with 13% comparable sales growth; full-year China growth guidance maintained at ~20%, with mid-to-high teens expected in Q2.
- Rest of World revenue grew 13% (9% constant currency) in Q1 FY26; APAC and EMEA remain on track for mid-teens full-year growth.
- Full-price sales rose high single digits globally in Q1 FY26, with meaningful sequential improvement in the U.S. vs. Q4, supported by 15% SKU reductions and reduced in-store markdowns.
- Marketing investment increased to ~6%–6.5% of sales (10%–15% above FY25), with high-profile activations including the Great Wall yoga event and SeaWheeze half-marathon return in August.

Q&A Highlights

- On traffic decline: Management confirmed a broad-based traffic reduction across all demographics, primarily driven by negative brand commentary (proxy battle, product quality concerns) and underperforming launches in late April/May.
- On China: The negative commentary impacted China as well, but momentum has begun to recover; management is confident in the ~20% full-year growth target based on underlying business trends.
- On markdowns: Q2 is expected to be the high-water mark for markdowns (up ~50 bps); sequential improvement is expected in Q3, with Q4 markdowns projected below last year's elevated levels.
- On marketing ROI: New activations, collaborations, and community events are not embedded in guidance upside; management noted these could provide upside if they perform to historical expectations.

- Full-year FY26 guidance was cut to \$11.0–\$11.15B revenue and \$10.95–\$11.15 EPS (vs. \$13.26 in FY25); Q2 guidance of \$1.76–\$1.81 EPS fell far short of the \$2.69 consensus.
- Incoming CEO Heidi O'Neill (former Nike executive) will join in September '26; interim co-CEOs Meghan Frank and André Maestrini are focused on stabilizing North America and maintaining international momentum.

Bearish Highlights

- North America revenue declined 3% (4% constant currency) with comparable sales down 6%; Q2 guidance implies a low double-digit decline in North America, the first sales drop since the pandemic.
- Gross margin declined 410 bps to 54.2%, driven by 280 bps tariff impact (net 180 bps after efficiency offsets), 40 bps from markdowns, and 140 bps fixed cost deleverage.
- SG&A delevered 310 bps in Q1 to 42.9% of revenue; Q2 SG&A is expected to deleverage ~500 bps, driven by proxy costs, increased marketing, and restored labor hours.
- Operating margin fell to 11.2% in Q1 (vs. 18.5% in Q1 FY25) and is projected at ~11.6% in Q2 (vs. 20.7% in Q2 FY25); full-year operating margin expected to contract ~380 bps to ~16.1%.

Misses

- EPS of \$1.69 met estimates but fell sharply from \$2.60 in Q1 FY25, reflecting significant margin deterioration rather than a true earnings beat.
- Q2 FY26 EPS guidance of \$1.76–\$1.81 missed consensus of \$2.69 by a wide margin, representing a ~36% shortfall vs. analyst expectations.
- Full-year FY26 EPS guidance of \$10.95–\$11.15 was cut from prior guidance of \$12.10–\$12.30 and fell well below the then-consensus, triggering at least nine brokerage price target cuts.
- The 'new look of yoga' campaign featuring away-from-body Align and Groove styles generated good product response but failed to produce the expected halo effect on the broader assortment, a key execution miss.

Top News, last 60 days:

[Lululemon Q1 2026 revenue beats by \\$60M at \\$2.5B, but EPS falls to \\$1.69 from \\$2.60; lowers full-year guidance amid North America weakness](#)

June 04, 2026

- Lululemon reported Q1 2026 revenue of \$2.5 billion, up 4% yearoveryear and exceeding forecasts by \$60 million, while EPS of \$1.69 met expectations but was down from \$2.60 in Q1 2025.
- North America revenue decreased 3% (down 4% constant currency) with comparable sales down 6%, while China Mainland revenue increased 30% (up 23% constant currency) with comparable sales up 13%.
- Gross margin declined 410 basis points to 54.2% versus 58.3% in Q1 2025, driven by 330 basis points from lower product margin (tariffs had 280 basis points gross negative impact, offset by 100 basis points from efficiency initiatives, plus 40 basis points from markdowns) and 140 basis points from fixed cost deleverage.
- Company lowered fullyear 2026 revenue guidance to \$11.0-\$11.15 billion (flat to down 1% versus 2025) and EPS guidance to \$10.95-\$11.15 versus \$13.26 in 2025, citing negative media commentary and underperforming product launches that impacted traffic in late April and May.

Importance - 7/10

Neutral

[Lululemon Stock Tumbles 10.2% on Sharply Reduced Full-Year Guidance and Weak Q2 Outlook](#)

June 04, 2026

- Lululemon stock fell 10.2% in afterhours trading on Thursday, June 4, 2026, to reach \$113.13 following disappointing guidance.
- The company slashed fullyear fiscal 2026 EPS guidance to \$10.95-\$11.15 from prior forecast of \$12.10-\$12.30 and reduced revenue guidance to \$11.00B-\$11.15B from \$11.35B-\$11.50B, both far below Wall Street consensus expectations.
- Q1 results showed EPS of \$1.69 matching analyst estimates and revenue of approximately \$2.5 billion edging past consensus.
- Q2 guidance of EPS \$1.76-\$1.81 fell significantly short of consensus expectation of \$2.69.
- Truist Securities cut its price target to \$135 from \$170 while maintaining a Hold rating.
- The company disclosed a cooperation agreement with founder Chip Wilson, an 8.7% shareholder, to add new directors to the board amid a CEO leadership transition.

Importance - 7/10

Negative

[U.S. Launches Third Section 301 Trade Investigation into Vietnam Over Intellectual Property Rights](#)

May 29, 2026

- The U.S. Office of the Trade Representative launched a Section 301 investigation into Vietnam's intellectual property rights policies and enforcement practices, which could result in additional tariffs on Vietnamese imports.
- This is the third Section 301 probe into Vietnam, adding to two ongoing investigations into alleged excess manufacturing capacity and forced labor that are expected to conclude in July.
- Vietnam was designated a 'priority foreign country' in the USTR's annual intellectual property report released in April, the first such classification for any country in 13 years.
- Vietnam's trade surplus with the U.S. widened to \$178.2 billion in 2025, up about \$54.7 billion from the previous year, amid unresolved trade negotiations over transshipment practices, market access, and the growing surplus.

Importance - 7/10

Negative

[Lululemon Founder Wilson Agrees in Principle to Board Settlement Terms](#)

May 18, 2026

- Chip Wilson, Lululemon founder and major shareholder, stated on Sunday, May 17, 2026, that he agreed in principle to eight settlement terms proposed by the board on Wednesday, May 13, which he accepted on Thursday, May 14.
- The settlement terms include appointing two of Wilson's nominees to the board after the annual meeting, adding one mutually agreed director by October 2026, having one incumbent director step down at the 2027 annual meeting, and recommending shareholders vote for Wilson's board declassification proposal.
- Wilson requested additional standard terms including replacement rights for departing directors, expense reimbursement, and quarterly board meetings, noting these provisions appear in at least 14 of the last 20 settlement agreements involving Lululemon's legal counsel.
- Lululemon shares trade at \$119.77, near their 52week low of \$119.06, with the stock down 63% over the past year, and the company reports earnings on May 28, 2026.

Importance - 7/10

Neutral

[Lululemon Shareholders Approve Board Slate, Settle Proxy Battle with Founder Chip Wilson](#)

June 26, 2026

- Lululemon shareholders on Thursday, June 25, elected three managementbacked directors including former Levi Strauss CEO Chip Bergh, Unilever's Esi Eggleston Bracey, and finance leader Teri List.
- Two of founder Chip Wilson's nominees, Marc Maurer and Laura Gentile, were appointed as independent directors, with a third mutually agreed director to join by October 1 as part of the settlement reached last month.
- Wilson, who owns roughly 8.6% of the company, agreed to an 18month standstill on public criticism after publicly sparring with management since December.
- Former Nike executive Heidi O'Neill will take over as CEO in September amid intensified competition from Alo Yoga and Vuori.
- The company earlier this month forecast the first drop in sales since the pandemic in the current quarter, with margin pressures from discounting and tariffs, and the stock has halved in value over the past 12 months.

Importance - 6/10

Neutral

[Lululemon Cuts Annual Profit Forecast, Shares Fall 8% as Challenges Mount for Incoming CEO](#)

June 08, 2026

- Lululemon shares fell about 8% on Friday, June 5, after the company cut its annual profit forecast, highlighting challenges ahead of incoming CEO Heidi O'Neill taking over in September.
- The company attributed sales weakness to negative commentary from a monthslong proxy fight with founder Chip Wilson and product launches that failed to resonate with core customers, including complaints that \$108 'Get Low' leggings were seethrough.
- Lululemon forecast a drop in secondquarter sales for the first time since the pandemic, prompting at least nine brokerages to cut price targets, with median PT falling to \$149 from \$205 three months ago.
- Fullyear profit is now expected to slide up to 17% (following a 9% drop in 2025), and operating margin is projected to contract 380 basis points to 16.1%, the lowest since 2006.

Importance - 6/10

Negative

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